



SPONSOR: Sen. Seigfried & Sen. Townsend & Rep. Minor-Brown

DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 134

AN ACT TO AMEND TITLE 29 OF THE DELAWARE CODE RELATING TO REVERSE AUCTIONS.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1 Section 1. Amend Chapter 69, Title 29 of the Delaware Code by making deletions as shown by strike through and
2 insertions as shown by underline as follows:

3 § 6902. Definitions.

4 For purposes of this chapter:

5 (27) ~~“Reverse auctioning” means an on-line procurement method wherein bidders bid on specified goods~~
6 ~~and nonprofessional services through real-time electronic competitive bidding, with the award being made to the~~
7 ~~lowest responsive and responsible bidder. During the bidding process, bidders’ prices are public and are revealed~~
8 ~~electronically, and bidders shall have the opportunity to modify their bid prices for the duration of the time period~~
9 ~~established for the auction.~~

10 (27) “Reverse auction” means an on-line procurement method wherein vendors, submit bids or proposals
11 to provide the lowest price or most advantageous offer on goods or professional or nonprofessional services
12 pursuant to an invitation to bid, request for proposals or other solicitation, through real-time electronic competitive
13 bidding. During the bidding process, vendor prices are revealed to all participants, without revealing the vendor’s
14 identity. Vendors shall have the opportunity to lower their bid or proposal prices for the duration of the time period
15 established for the auction.

16 § 6989D. Reverse auctions.

17 Notwithstanding any other provision of this title, when the Section, as approved by the Section director or
18 designee, determines that a reverse auction for professional services is advantageous, the Section may use reverse auctions
19 or allow an agency to use reverse auctions to receive competitive pricing proposals from proposing firms under this
20 subchapter. The Section shall provide for a simplified administrative process for obtaining competitive pricing proposals
21 for professional services through a reverse auction. The procedures must require vendors to preregister before the opening
22 date and time for purposes of vetting vendor responsibility and, as part of that registration, to agree to any contractual
23 terms, conditions, or other requirements of the solicitation. The solicitation must designate that the procurement method

24 includes a reverse auction, a schedule of proposing activities, and the procedures. The Section or procuring agency may,
25 with the written approval of the Section director or designee, contract with a third-party vendor to conduct a reverse auction
26 on its behalf, without the need for complying with the procurement provisions of this chapter. Each price proposal received
27 through the reverse auction, with the name and address of the submitting vendor, must be recorded. The proposals, proposal
28 summaries, or any other aspect of the proposal evaluations may not be open for public inspection until after receipt of a
29 signed contract. After the contract is awarded, the proposals must be made available for public inspection, except to the
30 extent any information is exempt pursuant to Chapter 100 of this title.

SYNOPSIS

Under Chapter 69 of Title 29, the Section of Government Support Services in the Office of Management and Budget (Section) is responsible for effectuating the State's procurement process. This Act seeks to modernize the definition of reverse auctions and allows for the Section to use reverse auctions in the procurement of professional services.

Author: Senator Seigfried